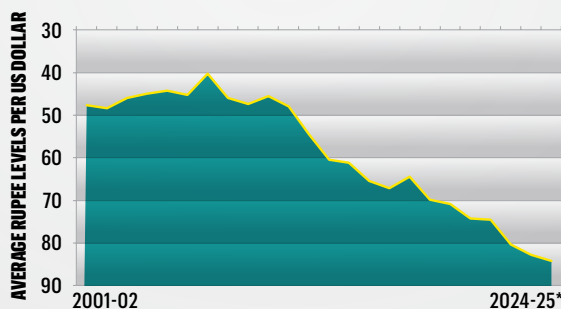


FALLING RUPEE

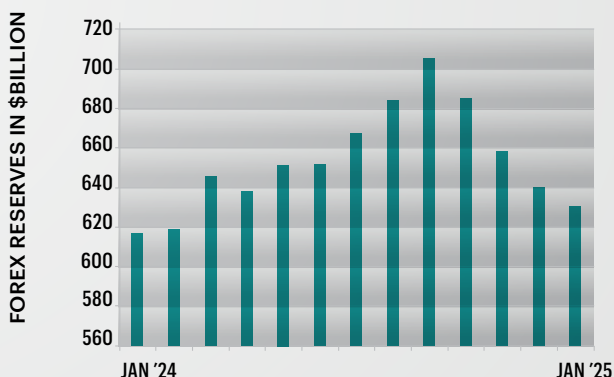
• The rupee is likely to extend its fall for the seventh straight financial year in FY25, down 30% since FY18



VALUES OF THE GRAPH ARE IN REVERSE ORDER; **FIGURES** SHOW AVERAGE RBI REFERENCE RATE OF RUPEE AGAINST DOLLAR; ***DATA** TILL FEBRUARY 14, 2025; **SOURCE** CMIE ECONOMIC OUTLOOK, RBI

FOREX WORRY

• India's foreign exchange reserves dipped for four consecutive months since September



SOURCE CMIE ECONOMIC OUTLOOK; RBI

THE PROS AND CONS OF A WEAKER RUPEE

It is seen to hurt the import bill and could lead to costlier petroleum and food products like edible oil

Exports have marginal advantage as other currencies are depreciating more than the rupee

Forex reserves have hit an 11-month low in January as the RBI intervened to ensure stability

This has impacted the overseas investments and foreign borrowing of firms

Students studying abroad and Indians travelling overseas will struggle with a weaker rupee

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and undershooting versus our forecasts, we believe if our year-end forecasts are realised, the rupee will be fairly valued,” Sahai says.

THE IMPACT

In the short term, a weaker rupee is seen improving the country's trade balance. In the longer run, though, a stronger rupee is seen to be more beneficial.

It isn't just trade that a depreciating rupee impacts, its effect is felt through the economy in several ways—some positive and some adverse. For instance, travelers and students going abroad may have to pay more rupees to buy dollars, imported raw materials would cost more and companies will pass that on to buyers. Consumers may feel the pinch of costlier food items and imported goods. Most worrying is the potential impact on the economy's competitiveness and the higher import bill, trade balance and forex reserves.

On the other hand, exports could benefit, but Sahai

of FIEO notes that most exporters tend to hedge against currency risks. “While the rupee's depreciation has helped exports to some extent and largely in cases where exporters are not hedging the currency, we must remember that India also imports a large number of items and a fall in the rupee impacts the import bill. Imports of items including petroleum, gems and jewellery and electronics is huge and about 10% of petroleum imports get impacted by the fall in the rupee,” Sahai says.

Rising import costs can also drive inflation, which may put the RBI in a spot, since it lowered the repo rate in the MPC meeting in February, the first one under new Governor Malhotra. If the RBI were to raise the repo again to combat inflation, that would impact borrowing costs for businesses and consumers alike. Sandeep Raina, Executive Vice President—Research of wealth management platform Nuvama Professional Clients Group, says, “A weakening rupee tends to be